

# KENYA FOOD PRICE PREDICTION

Using Machine Learning to Forecast Maize, Beans & Milk Prices Across Kenya

# THE PROBLEM

## Extreme Price Volatility

Essential food prices swing unpredictably — maize, beans, and flour fluctuate sharply month-to-month across Kenya's 27 tracked counties.

## Farmers Left Guessing

Farmers in Uasin Gishu and other counties cannot plan planting cycles or decide when to sell without reliable price forecasts.

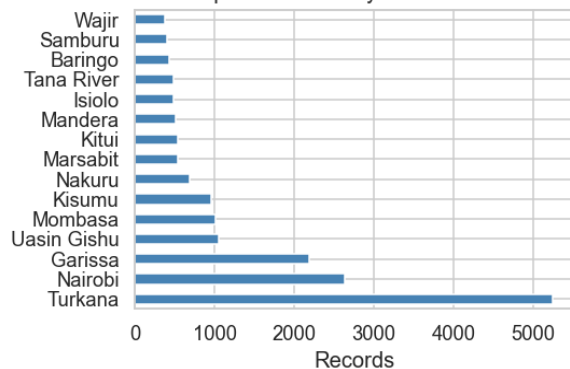
## Household Budgets at Risk

Consumers face surprise price spikes that disrupt family food budgets, especially for the most vulnerable households.

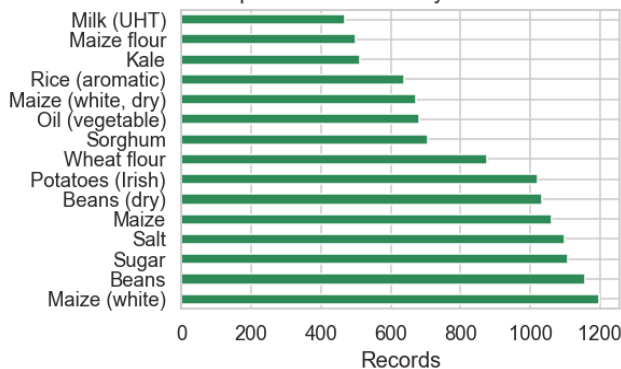
# THE DATA WE USED

## WFP Food Prices — Overview

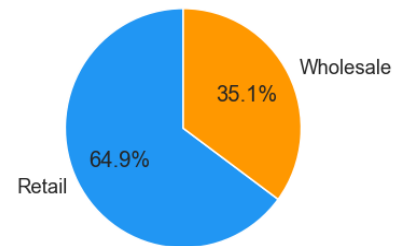
Top 15 Counties by Record Count



Top 15 Commodities by Record Count



Wholesale vs Retail Split



19,005

Price records

27

Counties covered

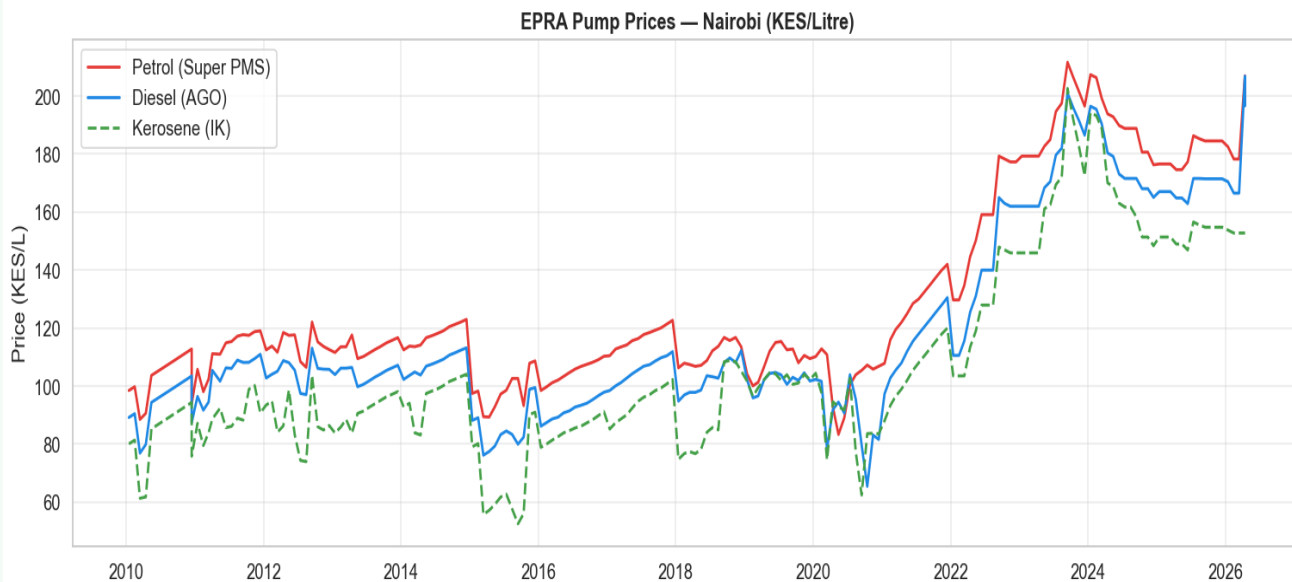
51

Commodities tracked

2006–2026

Date range

# HOW FUEL COSTS AFFECT FOOD PRICES



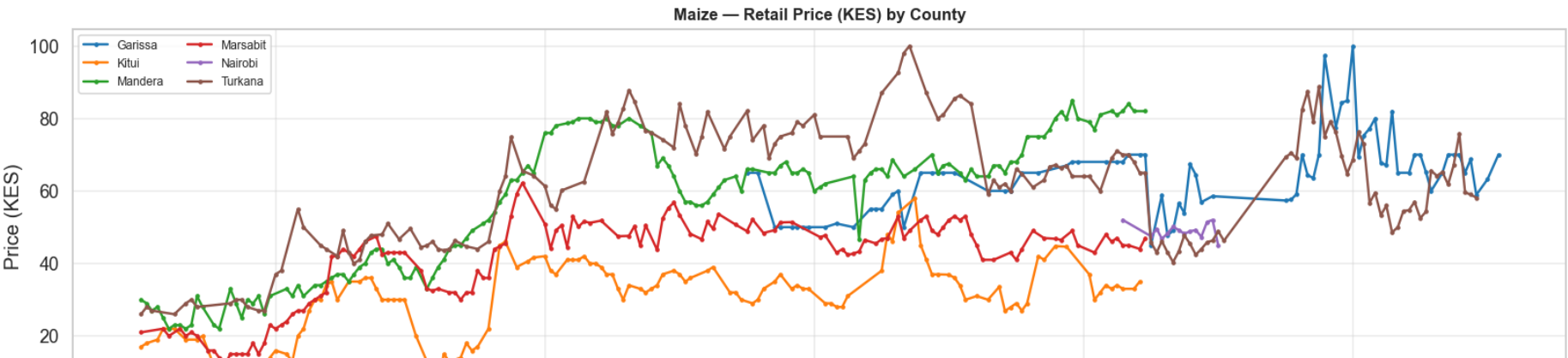
## Key Findings

- Diesel prices surged from ~KES 100 (2021) to over KES 200 (2023–24) — a near doubling.
- All food commodities show positive correlation with diesel — transport costs affect every staple.
- 2020 dip aligns with COVID-era demand collapse; sharp recovery followed.

Higher fuel → higher transport cost → higher food prices at market (3–6 month lag)

# HOW MAIZE PRICES HAVE MOVED (2006–2026)

Retail Price Trends — All Key Commodities



**KES 49.7**

Mean price (all history)

**KES 6–100**

Full price range observed

**KES 17.8**

Std deviation

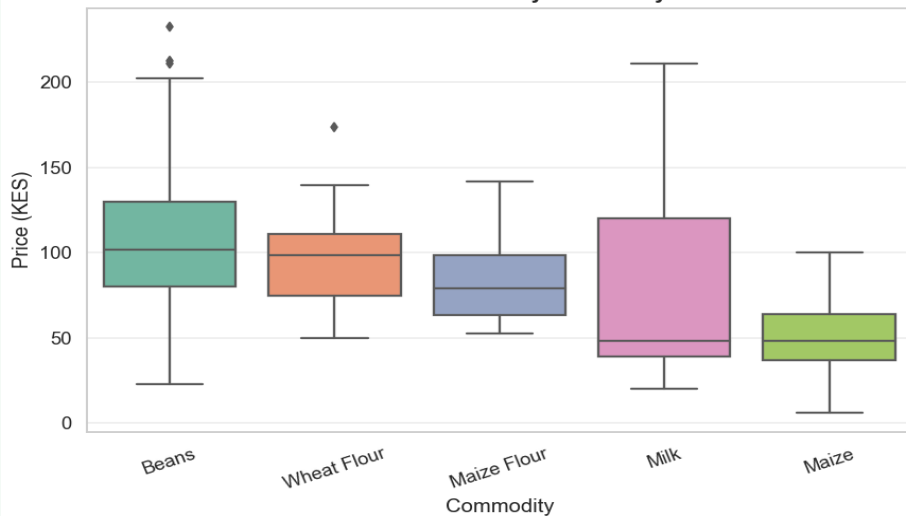
**Turkana**

Highest-priced county

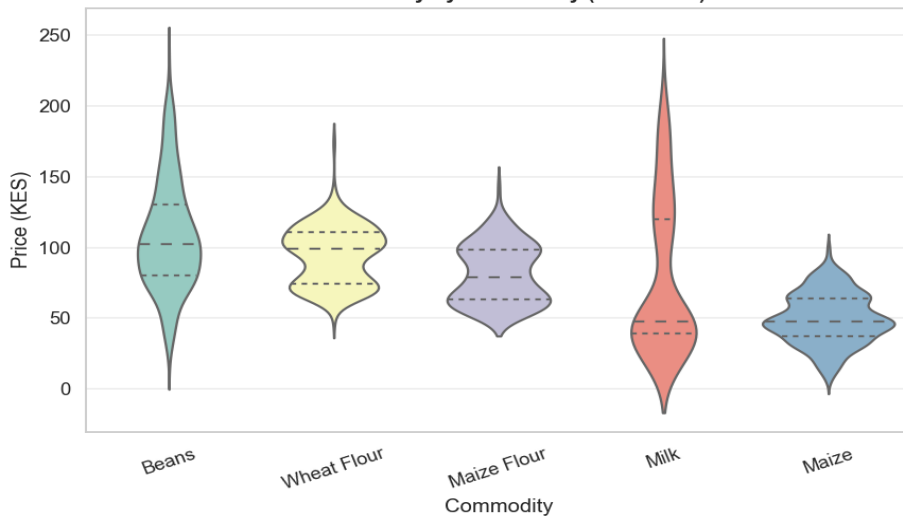
# PRICE SPREAD ACROSS ALL COMMODITIES

Price Spread & Distribution — Key Commodities

Price Distribution by Commodity

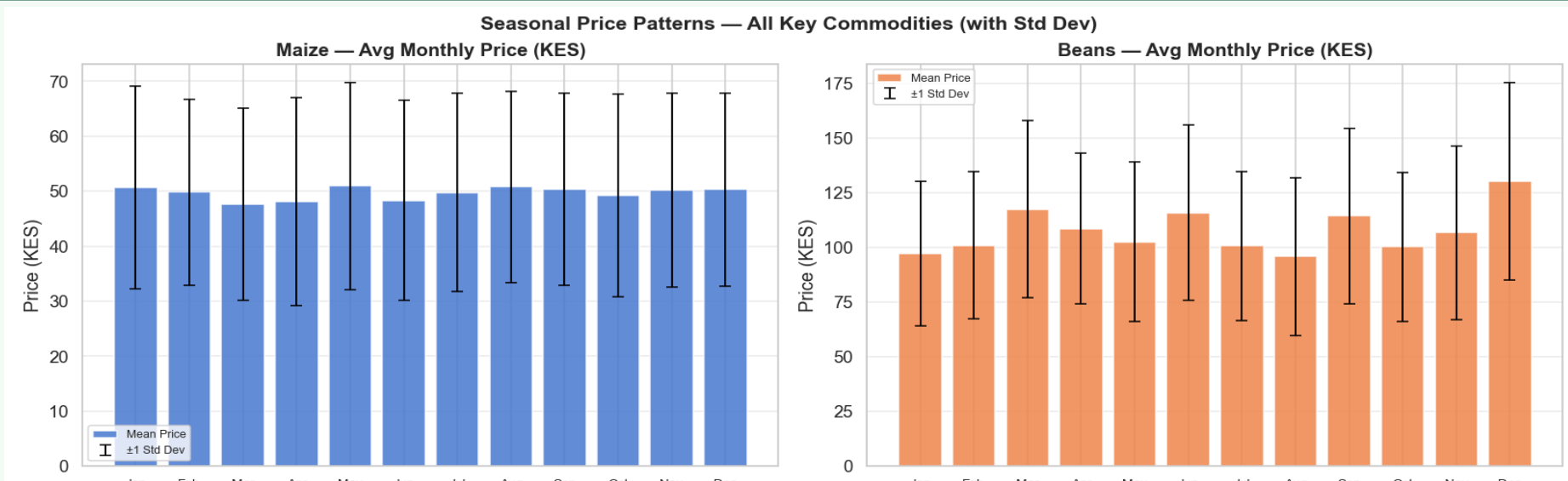


Price Density by Commodity (Violin Plot)



Beans (KES 108 avg) are the most expensive staple • Maize (KES 50) is the most affordable • Milk shows the widest county-to-county gap

# SEASONAL PRICE PATTERNS

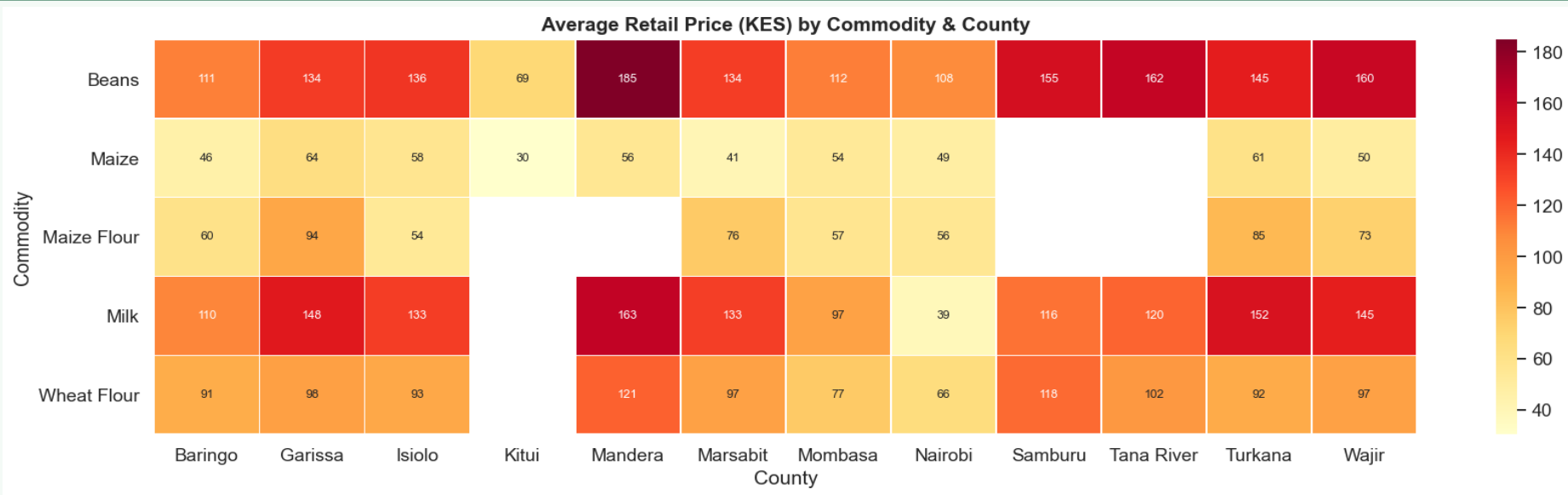


Maize: relatively stable year-round (KES 47–51). Slight lean-season peaks Jan–May before harvest.

Beans: March and December are the most expensive months — coinciding with demand peaks.

💡 These seasonal patterns are captured by the model's `month_sin` and `month_cos` features.

# PRICES DIFFER WIDELY BY COUNTY



- Mandera has the highest Beans price (KES 185 avg) vs Kitui (KES 69) — a 2.7× gap for the same commodity.
- Nairobi is consistently cheaper for most staples due to better supply chains and market competition.
- Remote/arid counties (Mandera, Wajir, Marsabit) pay 30–60% more than urban markets.



# RAINFALL AND FOOD PRICES

Rainfall Mirror Effect — All Key Commodities (Nairobi)



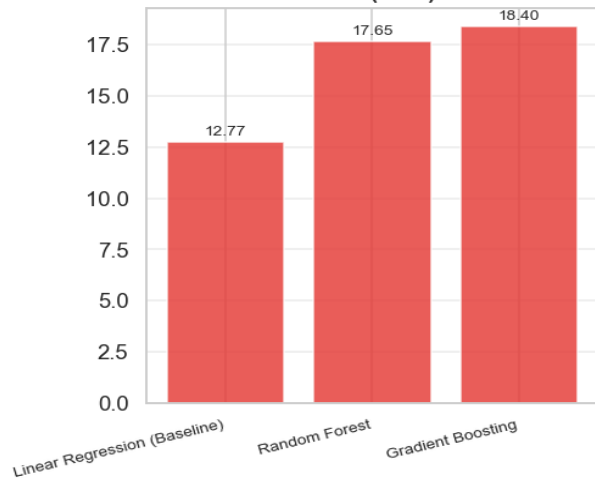
## How Rainfall Affects Prices

- Price spikes in Maize and Beans follow dry periods with a 3–6 month lag — the time from planting failure to market shortage.
- The model includes 1-month, 3-month and 6-month lagged rainfall features to capture this delayed effect.

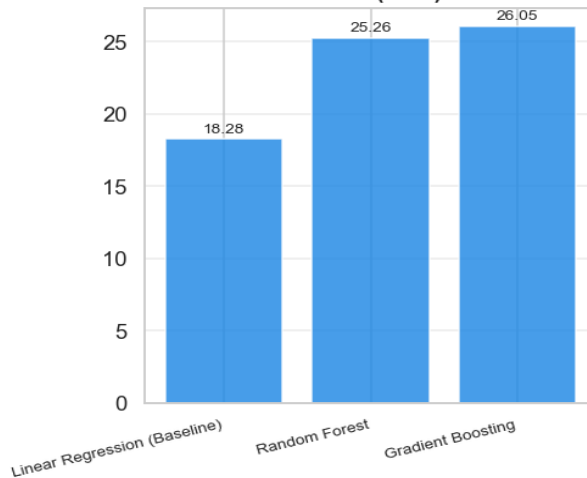
# THREE MODELS COMPARED

Model Comparison — All Commodities / All Counties

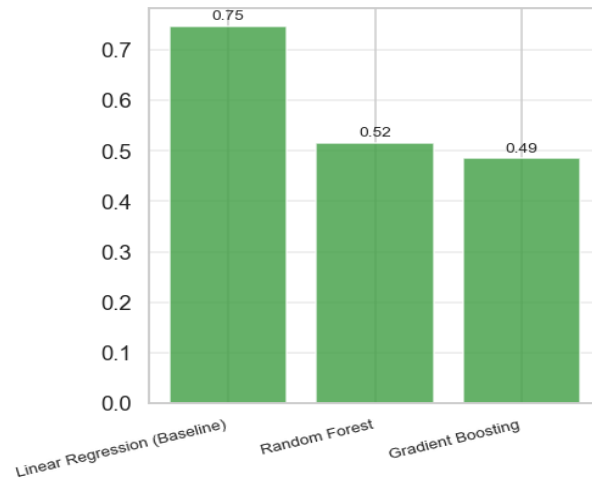
MAE (KES)



RMSE (KES)



R<sup>2</sup>

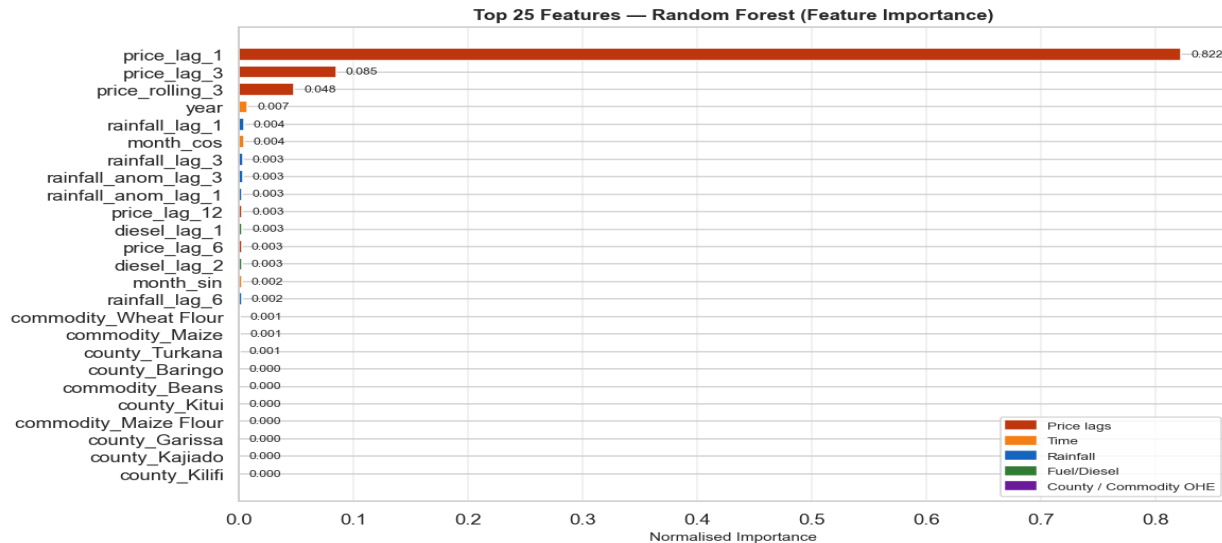


**Winner (overall baseline): Linear Regression • MAE = 12.77 KES • R<sup>2</sup> = 0.75**

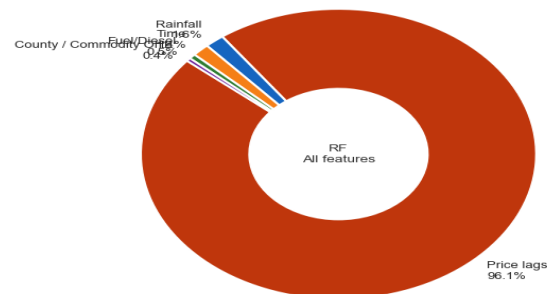
*Per-commodity training (Phase 2) uses the best model for each individual commodity.*

# WHAT DRIVES THE PREDICTIONS?

Feature Importance — Random Forest (Best Model by CV)



Feature Group Importance (Random Forest)



## Past Prices (96.1%)

price\_lag\_1 alone scores 82.2% — recent prices are by far the strongest signal.

## Time / Season (0.7%)

year and month cyclical features capture inflation trends and harvest cycles.

## Rainfall (0.5%)

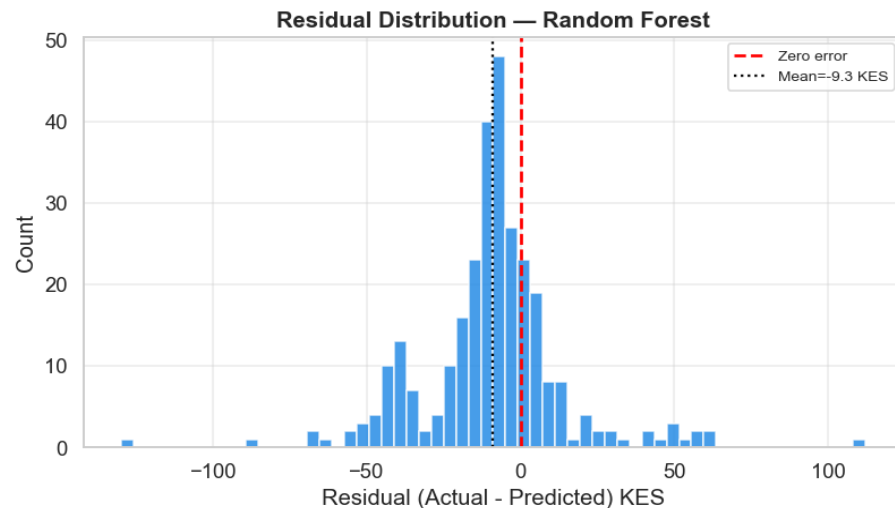
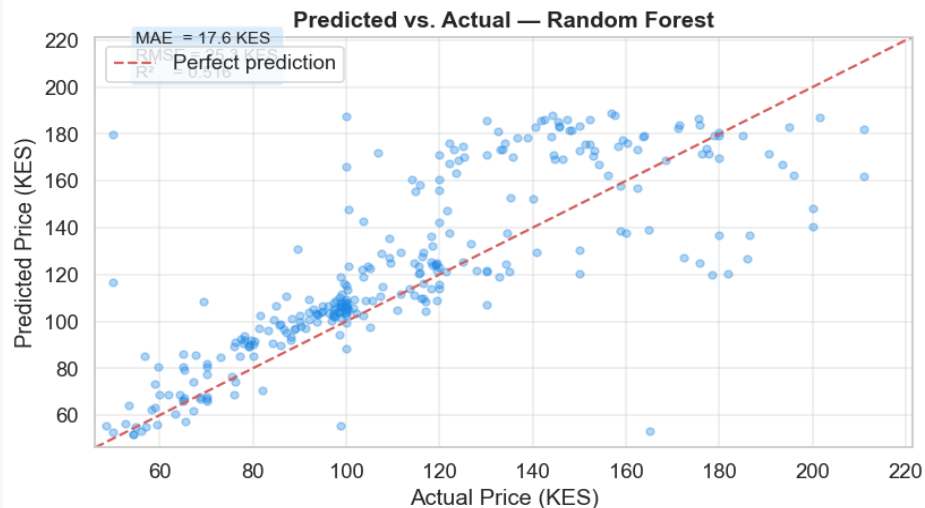
1-month and 3-month lagged rainfall features — modest but meaningful.

## Fuel / Diesel (0.3%)

diesel\_lag\_1 and diesel\_lag\_2 — delayed pass-through from transport costs.

# HOW WELL DOES THE MODEL PREDICT?

Model Evaluation — Random Forest (Best Model by CV)



**17.6 KES**

Average Error (MAE)

*Random Forest, all commodities combined*

**-9.3 KES**

Mean Residual

*Model slightly under-predicts on average*

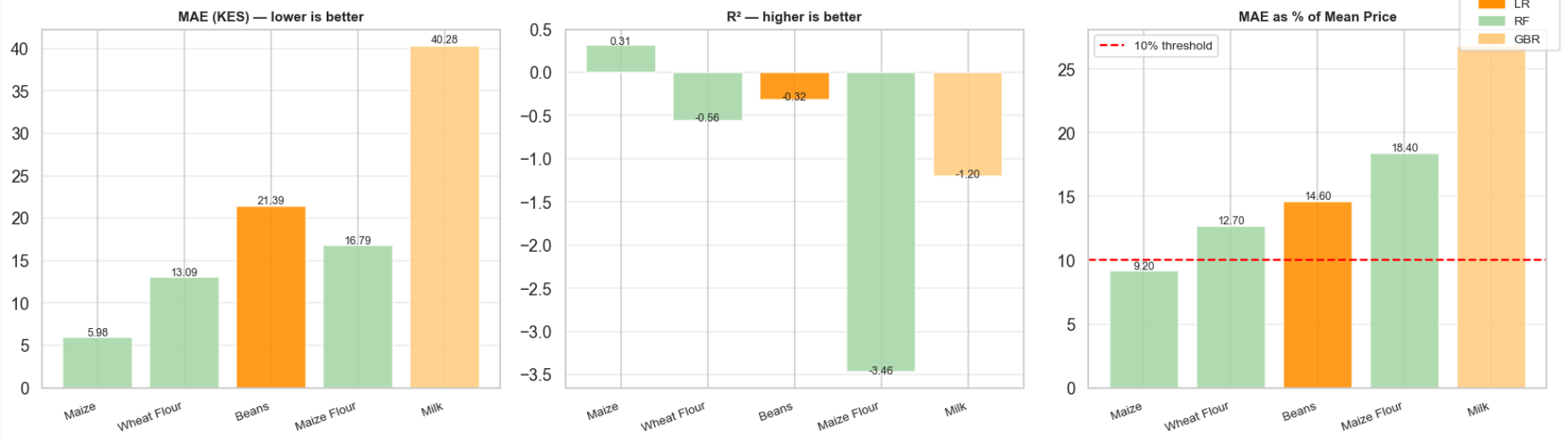
**0.52**

R<sup>2</sup> Score

*Explains 52% of price variation overall*

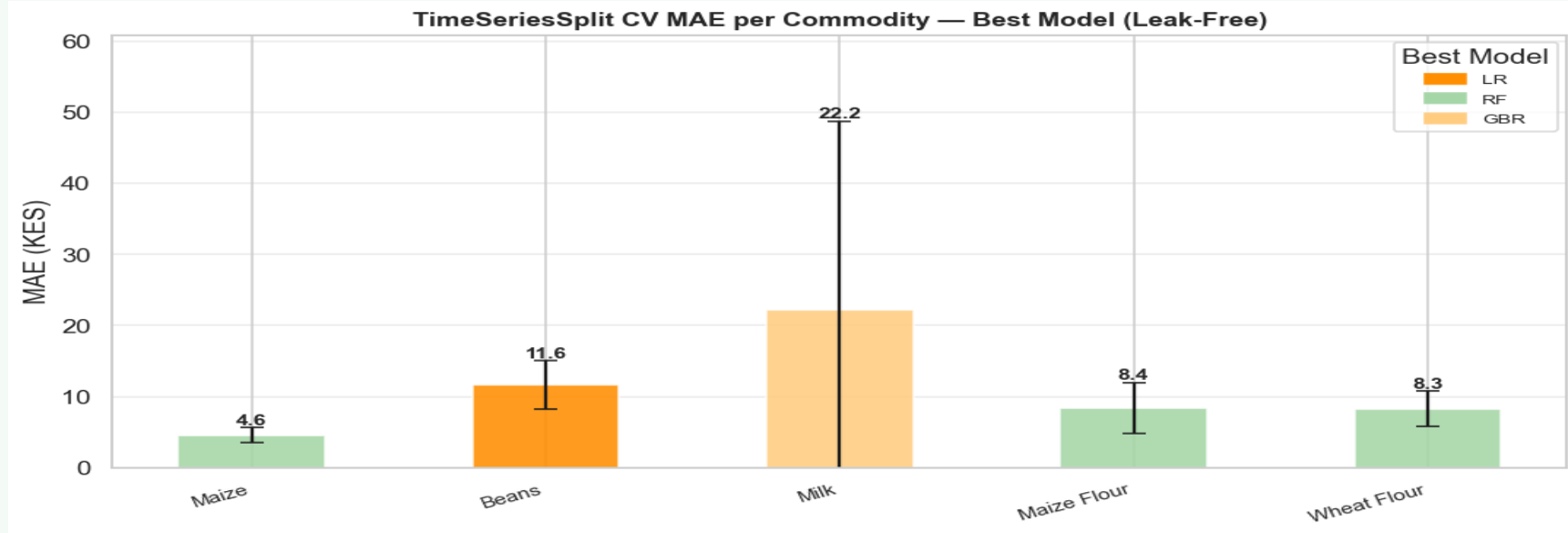
# FINAL RESULTS — BY COMMODITY

Final Leaderboard — Best Model per Commodity



| Commodity   | Best Model | MAE (KES) | % of Price | Note                           |
|-------------|------------|-----------|------------|--------------------------------|
| Maize       | RF         | 5.98      | 9.2%       | Only commodity under 10% error |
| Wheat Flour | RF         | 13.09     | 12.7%      |                                |
| Beans       | LR         | 21.39     | 14.6%      |                                |
| Maize Flour | RF         | 16.79     | 18.4%      |                                |
| Milk        | GBR        | 40.28     | 27.4%+     | Wide county variation          |

# CROSS-VALIDATION — HOW RELIABLE ARE THE RESULTS?



- Cross-validation tested the model on 5 different time slices to ensure it wasn't just memorising old data.
- Maize is the most reliably predictable (CV MAE = 4.6 KES  $\pm$  1.0). Milk is the hardest (22.2 KES  $\pm$  20.2) due to sparse county data.
- Training data: 2010–2023. Test data: 2024–2026 (unseen future prices).

# KEY TAKEAWAYS & NEXT STEPS

- ✓ Maize is the most predictable: 9.2% average error (RF model) — just below the 10% target
- ✓ Past prices are overwhelmingly the strongest signal (96.1% of importance) — markets have strong momentum
- ✓ Fuel price surges (2022–2024) drove food inflation — diesel data meaningfully improves predictions
- ✓ County-level predictions matter: Mandera pays 2.7× more than Kitui for the same beans

Deploy as a mobile-friendly tool for farmers in Uasin Gishu and remote counties

Expand to forecast all 5 commodities with improved models (especially Milk and Beans)